

BUDGET FOR INDIA'S MOST VITAL RESOURCE: ITS PEOPLE



The Union Budget 2025-26 is about India's most vital resource—its people. The budget builds on India's growth momentum with strong development measures, continued fiscal prudence, increased capex and reduced tax burden on middle class. Increase in disposable income enhances consumption growth and provides further wealth creation opportunities to Indian households through the markets. New investors will expand the current pool of 11 crore unique investors and will become stakeholders and beneficiaries of India's growth journey.

By **SHRI ASHISHKUMAR CHAUHAN**, MD & CEO, NSE

There has been a substantial relief to the middle class, with the nil-tax slab raised from Rs 7 lakh to Rs 12 lakh (reduced progressively over the years from Rs 2.5 lakh in 2014 to Rs 5 lakh in 2019 to Rs 7 lakh in 2023), thereby boosting household consumption, savings and investment. In fact, tax slabs have been widened across the board in the new tax regime, providing relief to all categories of taxpayers, enabling more consumption and wealth creation.

The Budget strikes a fine balance between fiscal discipline and economic growth, while equally focusing on improving the social wellbeing of the citizens of the country. It provides a comprehensive framework of reforms across six major domains including taxation, power sector, urban development, mining, financial sector and regulatory reforms, to promote sustainable, durable and inclusive growth, with Agriculture, MSMEs, investment and exports identified as major engines of this growth.

A slew of reforms has been announced in the agriculture sector to achieve self-sufficiency in pulses, improve human capital and enhance credit availability. Enhanced definition and access to credit for MSMEs and start-ups, streamlined export credit, support to labour-intensive sectors and clean-tech manufacturing, extension of interest-free loans to states, and measures to boost India's positioning in global trade would ensure India remains the fastest

growing major economy. The budget also focuses on promoting ease of doing business, by simplifying the regulatory framework, rationalising tax regime to reduce compliance burden and litigation further, enhancing FDI limit in insurance from 74% to 100%, fast tracking mergers, and promoting trust-based economic governance.

Technology-based solutions remain the edifice for the implementation of each of the transformative reforms. The growth-supportive measures were accompanied with continued support on social-welfare, with a slew of measures announced to provide quality education, affordable healthcare, access to potable tap water, employment and skilling opportunities, and enhance women participation in labour force.

The focus on capital expenditure continues, with the capex budgeted to grow by nearly 10% to Rs 11.2 lakh crore, targeted towards roads, railways, housing and defence. Importantly, the theme extends beyond infrastructure measures such as enhanced social security for gig workers, increased credit for the self-employed, socio-economic support for urban workers, and term loans for first-time women entrepreneurs.

The budget stands out for its balanced approach. While focusing on boosting consumption and investment, and enhancing social welfare for the

needy, the path to fiscal prudence has been kept intact, with the fiscal deficit targeted at 4.4% of GDP for FY26. The FRBM (Fiscal Responsibility and Budget Management) Guidelines lay out a comprehensive fiscal consolidation roadmap over the next five years, ensuring a downward debt to GDP trend to 50% +/- 1% by March 2031 from 55% currently. This bodes well for India's long-term credit rating as well.

Overall, the budget accelerates India's journey towards Viksit Bharat and supports a virtuous cycle of economic growth, wealth creation, capital formation and job creation.

